

Nepal Trust Act, 2008

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Amending Act

1. Some Nepal Acts Amendment Act, 2075 (2018) 2075.11.19

Act No. 29 of the year 2064 (2008)

An Act Made to Provide for the Establishment and Operation of the Nepal Trust

Preamble: Whereas, it is expedient to make legal provisions for creating a trust of the property standing in the name of and belonging to King Birendra, Queen Aishwarya and their family at the time of their demise, and for managing such property and utilizing it in the national interest,

Now, therefore, the Legislature-Parliament has enacted this Act. 1. Short Title and Commencement: (1) This Act may be called the "Nepal Trust Act, 2064 (2008)".

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Trust" means the Nepal Trust established pursuant to Section 3.

(b) "Trust property" means property referred to in Section 4.

(c) "Committee" means the Trust Board of Trustees formed pursuant to Section 7.

(d) "Property" means movable or immovable, tangible or intangible, physical or non-physical property.

(e) "Member" means a member of the Committee, and this term also includes the Chairperson and the Member-Secretary of the Committee.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the Rules framed under this Act. 3. Establishment of the Trust: (1) After the commencement of this Act, a Trust named "Nepal Trust" is hereby established for the management, operation and utilization in the national interest of the property standing in the name of King Birendra, Queen Aishwarya and their family. Explanation: For the purposes of this Act, "family" means the elder son Dipendra Shah and the younger son Nirajan Shah of King Birendra and Queen Aishwarya.

(2) The Trust shall be a self-governing and organized body with perpetual succession.

(3) The Trust may, like a natural person, acquire, possess, sell, or otherwise manage movable and immovable property.

(4) The Trust may, like a natural person, sue and be sued in its own name.

(5) The Trust may, like a natural person, enter into contracts and exercise the rights and perform the obligations arising from such contracts.

(6) The Trust shall have a separate seal for its business, and such seal shall be as determined by the Committee. 4.

Trust Property: (1) The Trust shall comprise of the following property, except those properties which have been nationalized and separately managed by the Government of Nepal:- (a) Property which the Government of Nepal, Council of Ministers, has decided to bring under the Trust, being property standing in the name of King Birendra, Queen Aishwarya and their family at the time of their demise, (b) Property accrued or augmented from the property referred to in clause (a), or property received before the commencement of this Act or to be received after the commencement of this Act in lieu of such property, (c) Property which has been or may be received by or may accrue to King Birendra, Queen Aishwarya and their family in any manner, or property to which they are or may be entitled, or property held in the name of any other person or benami property to which they are or may be entitled, (d) Any other property, other than those mentioned in clause (a), (b) or (c), which may be received by King Birendra, Queen Aishwarya and their family after the commencement of this Act, (e) Other property provided by the Government of Nepal from time to time, (f) Property received from a foreign government or any domestic or foreign person or institution. (2) Irrespective of wherever or in whatever condition or in whose name such property as referred to in clauses (a), (b), (c) or (d) of sub-section (1) may be situated or held at the time of the commencement of this Act, after the commencement of this Act, such property shall be deemed to have been automatically transferred to the name of the Trust or the right of the Trust shall be deemed to have been automatically established over such property. (3) Notwithstanding anything contained in the prevailing law, no person or institution shall have any kind of right or claim over the property referred to in sub-section (1), and no right or claim of anyone shall be created over such property under the law relating to partition or inheritance. (4) Upon a written request from the Trust to transfer the property over which the right of the Trust has been or is to be established under this Section, the officer responsible for the registration of property shall register such property in the name of the Trust, even if such property is standing in the name of any person or institution. (5) Notwithstanding anything contained in the prevailing law, no fee shall be levied upon the registration of property under this Section. 5.

Utilization of Trust Property: (1) The property of the Trust shall be utilized in the national interest in a manner that brings broad and optimal public benefit. (2) Without prejudice to the generality of sub-section (1), the property of the Trust may be utilized for the following purposes:- (a) To establish and operate educational and academic institutions such as schools, colleges, universities, or to provide grants for the operation of such institutions. Added by the Some Nepal Acts Amendment Act, 2075 (2018). (a1) To operate tourism and commercial activities in a manner favorable to the national interest and beneficial to the Trust. (b) To establish and operate hospitals or medical facilities for public purposes, such as hospitals or health posts, as prescribed. (3) The Committee shall conduct programs as prescribed for the enhancement, preservation and income generation of the Trust property. Added by the Some Nepal Acts Amendment Act, 2075 (2018). (3a) While conducting programs pursuant to sub-section (3), the Committee may, upon the recommendation of the Trust, lease the Trust property to any person or institution for a period specified by the Government of Nepal. Added by the Some Nepal Acts Amendment Act, 2075 (2018). (3b) Notwithstanding anything contained in sub-section (3a), if the lessee of property leased for a specified period wishes to continue operation by maintaining the existing structures with additional capital investment, and if it is ensured that this would provide additional financial benefit to the Trust, the Government of Nepal may, upon the recommendation of the Trust, extend the lease period as required even before the expiry of such period.

Provided that the lease period so extended shall not exceed the initial lease period. (4) While conducting programs pursuant to this Section, the Committee shall maintain close coordination with the concerned ministry or body in a manner not inconsistent with the plans and policies of the Government of Nepal. 6. Patron of the Trust: (1) The Prime Minister shall be the Patron of the Trust. (2) The Patron may give necessary directives to the Committee from time to time to implement the objectives of this Act. 7.

Committee: Amended by the Some Nepal Acts Amendment Act, 2075 (2018). (1) There shall be a Trust Board of Trustees as follows for managing and preserving the property of the Trust and operating the Trust:- (a) Any Minister of the Government of Nepal designated by the Prime Minister - Chairperson (b) The Secretary of the Office of the Prime Minister and Council of Ministers looking after the concerned area - Member (c) Executive Secretary, Office of the Nepal Trust - Member (d) Three persons, including one woman, appointed or designated by the Government of Nepal - Member (e) Under-Secretary of the Office of the Nepal Trust - Member-Secretary (2) A Nepali citizen who fulfills the following qualifications may become a member of the Committee pursuant to clause (d) of Added by the Some Nepal Acts Amendment Act, 2075 (2018). sub-section (1):- (a) Has gained experience working in the field of management or social service, (b) Has not been convicted of a criminal offense involving moral turpitude, (c) Is not involved in any kind of contract or commercial transaction with the Trust, or has no interest of any kind in the property of the Trust. (3) The term of office of a member appointed pursuant to clause (d) of Added by the Some Nepal Acts Amendment Act, 2075 (2018). sub-section (1) shall be four years from the date of appointment. (4) Notwithstanding anything contained in sub-section (3), if any member appointed pursuant to clause (d) of Added by the Some Nepal Acts Amendment Act, 2075 (2018). sub-section (1) acts against the interest of the Trust or is found to have misappropriated Trust property, the Government of Nepal may remove him/her at any time. Provided that before such removal, he/she shall be given a reasonable opportunity to present a defense. 8.

Meeting of the Committee: (1) The meeting of the Committee shall be held as required. (2) The meeting of the Committee shall be called by the Member-Secretary of the Committee upon the direction of the Chairperson. (3) If more than fifty percent of the total number of members currently holding office are present, the meeting of the Committee shall be deemed to have quorum. (4) The meeting of the Committee shall be presided over by the Chairperson of the Committee, and in his/her absence, by the Vice-Chairperson. (5) Decisions in the meeting of the Committee shall generally be taken by consensus, and if a decision cannot be reached by consensus, the opinion of the majority shall prevail. In the case of a tie, the person presiding shall cast the deciding vote. (6) The decisions of the Committee meeting shall be certified by the Member-Secretary. (7) Information of every decision made by the Committee shall be provided to the Patron. (8) Other procedures relating to the meeting of the Committee shall be determined by the Committee itself. 9. Functions, Duties and Powers of the Committee: (1) The functions, duties and powers of the Committee shall be as follows:- (a) To appropriately manage, maintain and preserve the property of the Trust, (b) To search for property of King Birendra, Queen Aishwarya and their family which should vest in the Trust pursuant to Section 4, within or outside Nepal, to ascertain its actual status and maintain records with true details, (c) To secure the right of the Trust by causing the registration of property referred to in Section 4 which should come into the ownership of the Trust to be registered in the name of the Trust, (d) To utilize the property of the Trust in the national interest pursuant to Section 5, (e) To invest the property of the Trust in income-generating activities to fulfill the objectives of this Act, (f) To perform or cause to perform other functions as prescribed. (2) The Trust shall formulate a periodic plan and submit it to the Government of Nepal for approval. (3) While investing in commercial sectors that generate income, the Trust shall prepare a strategic plan and submit it to the Government of Nepal for approval. (4) The Committee shall, within thirty

days from the commencement of each fiscal year, approve the annual program of activities to be conducted in that fiscal year and make the details thereof public. 10.

Preparation of Updated Inventory of Property: (1) The Committee shall prepare an updated inventory of the property of the Trust. (2) The Committee shall publish the updated inventory referred to in sub-section (1) from time to time. 11. **Immovable Property of Trust Not to be Registered in Individual's Name:** (1) Notwithstanding anything contained in the prevailing law, immovable property owned by the Trust shall not be registered in the name of any particular individual or institution, except in the case under Section 13. (2) Any registration made contrary to sub-section (1) shall be automatically void. 12. **Limitation Not to Apply:** Notwithstanding anything contained in the prevailing law, limitation shall not apply to the immovable property of the Trust. 13. **Prohibition on Sale, Distribution and Granting of Possession Rights:** (1) The property of the Trust shall not be sold, distributed or granted with possession rights. (2) Notwithstanding anything contained in sub-section (1), for the purposes of Section 5, the Trust Board of Trustees may sell or distribute Trust property with the approval of the Government of Nepal, Council of Ministers, and with the consent of the committee relating to Section 24. (3) The proceeds from the sale or distribution of Trust property shall not be used for the administrative expenses of the Trust. 14. **Not to be Sold by Auction:** (1) Notwithstanding anything contained in the prevailing law, if any property of the Trust had been mortgaged in any manner by any person for a loan taken before the commencement of this Act, such Trust property shall not be sold, distributed or confiscated by auction due to non-recovery of such loan. Provided that this provision shall not apply to property mortgaged before Jestha 18, 2058 B.S. (June 1, 2001). (2) A bank or financial institution that has given a loan against the mortgage of Trust property referred to in sub-section (1) may recover such loan from any other property of the person who had provided the mortgage, in lieu of such property. 14a. **Power to Award Reward:** Added by the Some Nepal Acts Amendment Act, 2075 (2018). The Committee may, as prescribed, award a reward to any person who provides information, along with necessary evidence, regarding property that is to be vested in the Trust pursuant to Section 4. 15. **Office of the Trust:** (1) The office of the Trust shall be located in the Kathmandu Valley. (2) The Trust may open its liaison offices at any place within or outside Nepal. 16.

Executive Secretary: (1) There shall be one Executive Secretary of the gazetted special class of the civil service to perform the daily functions of the Trust and to protect and supervise the property of the Trust. (2) The Executive Secretary shall be the full-time chief administrative officer of the Trust. (3) Other functions, duties and powers of the Executive Secretary shall be as prescribed. 17. **Trust Fund:** (1) There shall be a separate Fund of the Trust. (2) The Fund referred to in sub-section (1) shall consist of the following amounts:- (a) Income earned or received from the property of the Trust or from property augmented from such property, (b) Amounts received from the Government of Nepal, (c) Amounts received by the Fund from any person or institution. (3) Operation of the Fund referred to in sub-section (1) shall be done by the Executive Secretary or an officer designated by him/her and the chief officer concerned with the accounts of the Fund. 18. **Employees of the Trust:** (1) Employees required for performing the work of the Trust shall be provided by the Government of Nepal. (2) The Committee may appoint expert employees required for the Trust on a contract basis as prescribed. 19. **Accounts and Audit of the Trust:** (1) The accounts of the Trust shall be maintained in the format adopted by the Government of Nepal. (2) The Trust shall make arrangements for internal audit and internal control as prescribed. (3) The audit of the Trust shall be conducted by the Auditor General. (4) The Committee shall cause the audit of the accounts of the Trust every year and publish the report thereof within three months from the date of expiry of the fiscal year. 20. **Code of Conduct:** The code of conduct to be observed by the members of the Committee shall be as prescribed. 21. **Remuneration and Other Facilities:** The remuneration and other facilities to be received by the members of the Committee shall be as prescribed.

Until so prescribed, the remuneration and other facilities to be received by a member of the Committee shall be as specified by the Government of Nepal. 22.

Administrative Expenses of the Trust: (1) The amount required for the administrative expenses of the Trust shall be provided by the Government of Nepal as a lump sum grant through the annual budget. (2) If the amount referred to in sub-section (1) is found insufficient for the administrative expenses of the Trust, the Committee may, with prior approval of the Government of Nepal, make arrangements to meet such deficit administrative expenses from the amount augmented from the principal property of the Trust. 23. Contact with the Government of Nepal: While contacting the Government of Nepal, the Trust shall do so through the Office of the Prime Minister and Council of Ministers. 24. Submission of Annual Report: (1) The Trust shall, every year, submit to the Patron a report covering its work, activities, income and expenditure, problems encountered, and measures for their resolution. (2) The Patron shall submit the report referred to in sub-section (1) to the Amended by the Some Nepal Acts Amendment Act, 2075 (2018). concerned committee of the Federal Parliament. 25. Power to Frame Rules and Regulations: (1) The Government of Nepal may frame necessary Rules to fulfill the objectives of this Act. (2) Subject to this Act and the Rules framed under this Act, the Committee may frame necessary Regulations relating to its internal functioning, maintenance and preservation of immovable property, and financial administration. 26. Effect of Repeal of the Nepal Trust Ordinance, 2064 (2008): Upon the repeal of the Nepal Trust Ordinance, 2064 (2008), unless a contrary intention appears, such repeal shall not,- (a) revive anything not in force or existing at the time of the repeal; (b) affect anything done or suffered, or any right, privilege, obligation, or liability acquired, accrued, or incurred under the said Ordinance; (c) affect any penalty, forfeiture, or punishment incurred in respect of any offense committed against the said Ordinance; (d) affect any investigation, legal proceeding, or remedy in respect of any such right, privilege, obligation, liability, penalty, forfeiture, or punishment as aforesaid; and any such investigation, legal proceeding, or remedy may be instituted, continued, or enforced, as if the said Ordinance had not been repealed.